

Atlantic Mezzanine Partners — Quarterly Report Q2 2026

1. Portfolio Commentary

During the quarter, the Fund's portfolio experienced continued pressure on borrower fundamentals. Weighted average leverage increased to 5.4x while interest coverage declined to 1.6x, driven primarily by margin compression in two consumer-sector borrowers. One additional borrower entered payment default during the period, bringing the portfolio default rate to 2.5%.

2. Key Metrics

Metric	Q1 2026	Q2 2026
NAV (EUR m)	73.5	71.8
Gross Yield	10.1%	10.4%
Net Leverage	5.1x	5.4x
Interest Coverage	1.9x	1.6x
Default Rate	1.5%	2.5%

3. Covenant Position

The Fund's facility agreements include a maximum net leverage covenant of 5.5x; as of Q2 2026, portfolio-weighted leverage stands at 5.4x, leaving limited headroom. The Investment Adviser is engaged in active dialogue with the two underperforming borrowers regarding potential amendments.